involved. [48] Additionally, Pakistan's entry into US- and UK-led defence arrangements such as the Central Treaty Organization (CENTO) and Southeast Asia Treaty Organization (SEATO) in 1954 and 1955—as well as a bilateral US—Pakistan Mutual Defense Assistance Agreement—raised questions in New Delhi about Washington's reliability. [49] But India's position on international issues was also not decisive enough to secure sufficient support from the Soviet Union, which would only come later.

Furthermore, although India managed to navigate some of this treacherous landscape, it was not always able to capitalize on economic progress domestically. Some of the reasons had to do with domestic economic policy. After India's second Five Year Plan in 1956, its economy started to face some headwinds. The 1950s had seen the ascendance of the Planning Commission and P.C. Mahalanobis. Mahalanobis—who was not an economist by training but a statistician of considerable renown—became enamoured by the Soviet Union's central planning after visiting Moscow in 1951. But India's focus on central economic planning of national economies was also in line with trends in Western Europe, including the United Kingdom. Immediately after India adopted the second Five Year Plan in 1956—the first such plan of consequence—the country experienced a sharp drop in foreign exchange reserves. [50]

The plan focused on productive capital and technology, domestic savings and state-led industrialization, but remained sceptical of trade, focusing on import substitution over exports. (As one historian recalled later, it was 'more Lenin than Laski', referring to the radical Soviet leader and the Marxist academic. [51]) Seven years later, a thirty-year-old Indian economist named Manmohan Singh wrote a sharp critique of the plan's disregard for exports in the *Economic Weekly*, arguing that 'the task of increasing export earnings here and now assumes a new urgency'. [52] Yet other critics—including in the Planning Commission—blamed consumers for the balance of payments crisis and called for greater austerity. By January 1957, curbs were placed on foreign exchange spending and the Five Year Plan was revised. A few years later, in 1959, C. Rajagopalachari—who worried that the second Five Year Plan would 'wither the private sector' and should